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The Dark Side of Unplanned Discount Promotions: Examining Its Negative Impact on Brand Image and Sales Performance with the Moderating Role of Perceived Brand Value.

Sitara Kanwal
M.Phil. Institute of Business Administration, University of the Punjab.

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*Corresponding author: Sitara Kanwal, M.Phil. Institute of Business Administration, University of the Punjab.

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Abstract:

Purpose: In today's competitive market, brand strategies must be carefully crafted to optimize sales performance. This study investigates the negative impact of unplanned discounting on brand image and sales performance, with brand image acting as a mediator and perceived brand value as a moderator. The research examines these relationships within the textile industry, particularly focusing on clothing brands, to provide insights into how unplanned discounting strategies can undermine long-term sales outcomes and brand equity.

Design/methodology/approach: This study employed a questionnaire-based survey, collecting data from 350 customers of clothing brand who had made purchases at least twice a year.

Findings: Structural equation modeling (SEM) was used to test the proposed hypotheses. The findings indicated that unplanned discounting negatively impacts brand image, which, in turn, leads to a reduction in sales performance. Additionally, brand image was found to mediate this relationship, and perceived brand value played a moderating role, amplifying the negative effects of unplanned discounting on both brand image and sales performance.

Research limitations/implications: The study faces limitations due to its cross-sectional nature, which only provides a snapshot of consumer behavior. This design may overlook any shifts in brand perceptions that may occur over time. The results of this study contribute to contingency theory and deepen understanding of the unintended consequences of promotional strategies.

Practical implications: This study suggests that businesses should carefully consider the implications of unplanned discounting, especially in relation to brand image. Managers should focus on maintaining a strong brand image, ensuring that discount strategies align with long-term brand value and consumer perceptions. The study also highlights the importance of managing perceived brand value to mitigate the potential damage caused by discounting practices.

Originality/value: This study contributes to the literature by exploring the negative impacts of unplanned discounting on brand image and sales performance in the textile industry. It uniquely incorporates brand image as a mediator and perceived brand value as a moderator, offering new insights into the complex dynamics of promotional strategies.

Keywords: Unplanned discounting, Brand image, Sales performance, Perceived brand value, Textile industry.

Introduction:

Promotional strategies are of utmost importance in influencing modern consumer behavior and organization performance in today's highly dynamic retail environment. Unplanned discount promotions are one such promotional strategy, which is one of the most used yet controversial ways in today' highly competitive clothing industry. While discounts have traditionally been used to enhance demand or to appeal to price-sensitive customers (Gauri et al., 2021), frequent unplanned discounts may yield unintended consequences. They may enhance short-run sales performance in the near term, yet erode brand image and decrease brand value perceptions at the same time (Ailawadi et al., 2009). Although a number of research studies have explored planned discounting strategies extensively (Darke & Dahl, 2003), not much is left on the unplanned frequent discount strategies in the context of emerging markets like the clothing industry of Pakistan.

The clothing industry in Pakistan has fierce competition, ongoing price conflicts, and a developing consumer market that is very responsive to marketing efforts (Khan & Ahmed, 2020). As a result, brands often use discounts that have not been planned to boost their sales. Nonetheless, excessive tactics which in the absence of thorough planning can lead towards an imbalance in brand positioning and can also decrease brand loyalty (Pehlivan & Berthon, 2019). Numerous local brands are constrained by the dilemma 'how to make money and build the brand value at the same time' and thus it becomes important to understand the consequences of such pricing techniques.

According to Chen et al. (2020), unplanned discounts are expected to increase sales through heightened immediacy and customer traffic. On the other hand, discounts may damage brand image when shoppers start relating the set price to a lower quality brand or, even worse, a lack of exclusivity (Mishra & Chattopadhyay, 2021). Additionally, perceived brand value may mediate this relationship by creating conditions in which consumers view discounts as a value adding offering rather than a signal of low brand equity (Erdem & Swait, 1998).

This study draws its support from Contingency Theory (Donaldson, 2001), which stresses that organizational strategies are effective depending on the contextual factors present. For its part, unplanned discount promotions affect sales performance and brand image differently because of their different market position and consumer expectations or competitive dynamics. For premium brands, frequent discounting may create a dissonance between the exclusive brand image and pricing strategy which results in brand dilution and erosion of consumer confidence. On the other hand, mass-market brands tend to benefit from such promotions with little or no harm to their brand image. Also moderating these effects is consumer sensitivity to price changes and the economic environment. Contingency Theory reinforces the idea that there cannot be a blanket effect for all discounting strategies and that firms need to tailor their pricing decisions according to market conditions in order to build long-term brand equity with an eye toward short-term sales results.

Unplanned discount promotions have become a widely used pricing strategy in the clothing industry, yet their impact on brand image remains a critical concern. While such promotions are often implemented to drive immediate sales, they may also lead to unintended consequences, particularly affecting how consumers perceive the brand. Contingency Theory (Donaldson, 2001) provides a useful framework for understanding these effects, emphasizing that there is no universal outcome for organizational strategies; rather, their effectiveness depends on contextual factors. In the case of unplanned discount promotions, their influence on brand image is contingent upon elements such as brand positioning, competitive market dynamics, and consumer expectations (Morgan et al., 2018).

While filling this gap, the study sheds light on empirical evidence regarding the effects of unplanned discount promotions on short-run and long-run brand performance. The findings will most likely be of great relevance to clothing brands from Pakistan, putting forward strategic recommendations on how to balance promotion tactics with long-term sustainability of brand positioning.

Theoretical Background and Research Hypotheses:

Unplanned Discount Promotions and Brand Image:

Unplanned discount promotions are currently among the most commonly used pricing strategies in the clothing industry, but their effects on brand image remain a point of contention. Such promotions are often applied for the sake of generating sales, sometimes causing unintended consequences that directly affect

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consumer perceptions regarding the brand. Donaldson's (2001) theory of contingency offers some useful insights in an understanding of these repercussions, noting that there is no one universal outcome for organizational strategies; rather, their effectiveness is dependent upon contextual factors. In reference to unplanned discount promotions, their influence over brand image depends on elements such as brand positioning, shifting competitive market dynamics, and consumer expectations (Morgan et al., 2018).

Given their exclusivity and high perceived value, premium clothing brands run the risk of a wrong positioning between their own established brand image and consumers' perceptions should unplanned discounting take place (Kapferer, 2015). Frequent price reductions can entail an end to financial security, unsold stock, and being seen as less desirable, thus compromising the prestige of the brand (Mishra & Chattopadhyay, 2021). With time, consumers may begin to question the authenticity of these previously set prices, which may lead to still less confidence and a weakened emotional connection with the brand (Pehlivan & Berthon, 2019). This aligns with the Contingency Theory, which expresses that strategic decisions should correlate with external market conditions coupled with internal brand identity to remain effective (Donaldson, 2001). A promotional strategy that fails to heed such factors represents a threat to the brand's long-term equity.

Thus, in respect to mass-market or low-cost brands, unplanned discount promotions may not inflict the same damage to brand image. In such scenarios, consumers could already expect frequent price discounts as part of the brand's market positioning (Grewal & Roggeveen, 2020). Contingency theory states that the result of a strategy is dependent on its compatibility with the sector an organization operates in, meaning unplanned discounting would yield disparate results depending on market positioning and target-market perceptions of brands (Donaldson, 2001).

Most probably, therefore, the negative impact of unplanned discount promotion on brand image will be more noticeable in premium or luxury brands while relatively lower-priced brands might be affected less or even in an opposite way. Hence, the following hypothesis is proposed:

H1: Unplanned discount promotions have a negative impact on brand image.

Unplanned Discount Promotions and Sales Performance:

Discount promotions, when unplanned, are likely to directly affect sales performance but their nature of impact may very well differ with context, such as brand positioning, consumer expectations, or market competition. Thus, discounting is often perceived as a short-term strategy to improve sales volume. Research demonstrates that frequent unplanned discounts yield mixed results on long-run sales performance (Grewal et al., 2018). A short-run surge in sales might come at the expense of profit margins, brand equity, and patterns of consumer purchases, thereby affecting long-run sales performance quite intricately.

Short-term unplanned discount promotions foster an urgency effect that stimulates impulsive buying behavior and increases frequency (Darke & Chung, 2005). These promotions usually attract price-sensitive customers who may not shop when prices are not on discount often. Also, this comes in handy to clear excess stock, especially in the highly competitive market where clothing brands need to quickly respond to the fast-paced changes in fashion and consumer preferences (Smith & Sparks, 2019). However, concerning long-term implications, unplanned discounting results in a question of how sustain its operation might be. Repeated discounts engender a consumer-level "learning" that can lead to the postponement of their purchases in anticipation of price cuts in the future, therefore reducing full-price sales and lowering profit margins (DelVecchio et al., 2006). Besides, the presence of sustained discounts might reduce the brand's established credibility, making it exceedingly hard for the brand later to justify premium pricing, which can result in weakening revenue growth over time (Mishra & Chattopadhyay, 2021).

Another vital point regarding unplanned discount promotions is their impact on consumer price expectations and loyalty behavior. The pricing strategies should be structured in accordance with the competitive context and consumer perceptions. Unplanned discounts on premium brands may destroy the perception of product exclusivity, thereby diminishing long-term sales performance. In contrast, for discounted or fast fashion, discounts may be an appropriate volume-driven approach to preserve

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market share amongst price-sensitive segments. Unplanned discounts yield mixed results as far as their impact on sales performance varies according to brand positioning and discount frequency. Given those arguments, the following hypothesis is put forth:

H2: Unplanned discount promotions have a mixed impact on sales performance, with short-term sales increases but potential long-term negative consequences.

Mediating effect of Brand Image:

Unplanned promotional discounts can affect sales performance, but it may not be a straightforward relationship. One critical mediating variable in this relationship is brand image, which shapes the consumer's perception, trust, and loyalty (Keller, 2016). The notion of brand image is a psychological and emotional construction that reflects consumer perception of a brand based on past experiences with that brand, marketing efforts, and external influences (Aaker, 1996). Although discounts may introduce handsome returns in the short term, in their next cycle, unplanned brand discounts may change the way brand is perceived, thereby affecting long-term sales performance.

In the clothing brand context, brand image mediates the relationship between unplanned discount promotions and sales performance through consumer expectancy and willingness to pay a premium. A strong brand image is associated with perceived quality, credibility, and emotional attachment; it further amplifies consumer purchase intentions (Erdem & Swait, 2004). Yet unplanned or not-systematic discounting raises concerns about brand equity, potentially damaging quality perceptions that could damage brand positioning consistency (Lowe et al., 2012). One thing that can happen, though, is that when customers often see a brand represented at a discount, they will begin to wonder about that brand's actual value and, therefore, their willingness to buy a full price in the future (DelVecchio et al., 2006). This suggests that the positive impact of discount promotions on sales could be moderated by the likely negative impacts they could have on brand image.

Thus, they might have a period of recovery from unplanned discounting and all of its consequences for those brands that are able to maintain a well-established and positive image. Some research suggests that strong brands behave more resiliently than weaker ones when it comes to price reductions, as consumers will impose their brand equity rather than pricing mechanisms (Grewal et al., 2018). So, if a clothing brand has a suitably maintained positive and progressive image with unplanned discounts along the way, it can enjoy long-term growth with the aforementioned apparel. On the contrary, discount-oriented brands with no positive and strong image run the risk of incurring loss of trust from the consumers and eventually devaluation of brand equity, which will translate into reduced sales volume in future (Mishra & Chattopadhyay, 2021). In light of these arguments, the following hypothesis is proposed:

H3: Brand image mediates the relationship, where unplanned discounting negatively affects brand image, subsequently reducing long-term sales performance.

Moderating Effect of Perceived Brand Value:

Perceived brand value plays a salient moderating role in the relation between brand image and sales performance. Brand image has long been accepted as a major determining factor in consumer behavior, influencing not only attitudes and perceptions but also purchase decisions (Keller, 1993). A positive perception of a brand by a consumer translates into loyalty, a relative readiness to pay a premium for the brand, and increased sales performance (Park & Lee, 2019). However, the strength of the whole relationship may vary depending on how the consumer perceives the overall value of a brand. Perceived brand value may be defined as the sum of the values assigned to a brand, in the consumer's perception of the worth or currency of a brand, relative to its price, to competing brands that serve the same function, and the benefits conferred by that brand, compared with its costs (Zeithaml, 1988).

The moderating effect of perceived brand value specifies that the strength of the relationship between brand image and sales performance lies in how brand value is perceived by the consumer. Consumers who perceive high brand value and feel sentimental attachment towards the brand tend to enhance the positive consequence of a favorable brand image on their purchasing attitude (Beverland, 2005). Since such consumers have a trust toward and loyalty for the brand, they are more likely to turn their favorable brand perception into actual sales. On the other hand, those who perceive low brand value may remain cynical towards the brand even after it develops a positive

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image and thus have a weaker or sometimes no improvement in sales performance (Aaker, 1991).

If a buyer connects high value with a certain brand, the person is certain to come under the spell of the brand image and perhaps make a purchase through which the brand will show an increase in sales performance; however, if the brand value is low, then strong brand images may do little in substantially boosting sales, since consumer skepticism, with respect to the overall worth of a brand, overpowers the favorable associations (Vázquez-Carrasco & Foxall, 2006). It clearly indicates that perceived value of the brand serves as a key moderating factor, amplifying or overshadowing the impact of brand image on sales performance, especially in marketplace environments wherein consumers have strong value sensitivities.

The consumer's attachment and loyalty to a brand stems from strong brand perceived value, which in turn leads to positive influence over the sales performance (Chaudhuri and Holbrook, 2001). This perceived brand value is more likely to moderate tough purchase decisions when consumer categories involve, for example, consumer electronics or retail, where price conscientiousness sways consumers. The more perceived value for money is, the more potent the brand image effect for the consumer purchase decision. Higher perceived value is expected to lead to greater consumer use of strong brand image in deciding whether to purchase, with the resulting gratification of increased sales activity (Aaker, 1996).

To conclude, the moderating effect of perceived brand value on the relationship between brand image and sales performance has important lessons for those seeking to hone their sales strategies. Strengthening brand image is often not enough if the perceived value of the brand fails to meet consumer expectations. Companies should therefore focus not only on strengthening brand image, but also on supporting the perceived value of their brand; this will carry over well into improved sales performance. In doing so, the potential synergies of brand image and perceived value can be exploited to ensure continued sales growth.

H4: Perceived brand value moderates the relationship such that the positive effect of brand image on sales performance is stronger when consumers perceive higher brand value.

Theoretical Model of the Study:

The theoretical model of this study (see Figure 1) explains that the researcher hypothesized the impact of unplanned discount promotions on sales performance, with this relationship being mediated by brand image. It also states that perceived brand value acts as a moderating factor between brand image and sales performance.

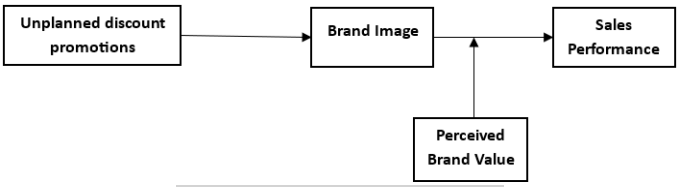

Figure 1: Theoretical Model

Methods:

Context of the study:

The focus of this study is to examine the impact of unplanned discount promotions on sales performance, with brand image acting as a mediator and perceived brand value as a moderator. To collect data, the study targeted consumers who actively engage with retail brands and have experience with promotional campaigns, ensuring that respondents had sufficient exposure to such promotions to provide informed feedback. Data were collected from customers who are familiar with retail promotions offering unplanned discounts. The customers must have made purchases in the past six months.

There are a number of reasons for the selection of this consumer group. First, these people might have firsthand experience with unplanned discount promotions and should provide valuable insights into how such promotions influence perceptions of brand image and subsequently, purchasing decisions. In second, customers who have been in communication with retail brands regarding promotions are usually a bit more informed about the possible effect of these strategies on the whole brand experience and would be ideal participants. Finally, the study was directed at regular purchasers in order for the sample to be pertinent in order to understand the larger market trends in regards to discount promotions.

Data for this study were collected by means of a structured questionnaire survey conducted from December, 2024 to February, 2025. In total, 350 questionnaires were distributed to retail consumers who had experience with discount promotions; 305 valid responses were obtained. The survey was administered

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through both online and face-to-face means to ensure diverse geographic representation. Ethical guidelines dictated that the respondent was kept anonymous and assured that their privacy would be protected. Instructed to reduce bias and common method variance, all items were developed carefully to avoid confusion, leaving the impression that the items asked were consistent with each other. The data collection exercise with its elaborate structure was effective in capturing a wide variety of consumer experiences, thus providing an ideal basis for analysis in sales performance under the effects of unplanned discount promotions via brand image having the moderating role of perceived brand value.

Measures:

The five-point Likert scale adopted in this study spanned from 1 (strongly disagree) to 5 (strongly agree). Unplanned discount promotions were rated on the basis of frequency, timing, and perception by consumers with the aid of an adapted scale from previous research (Aaker, 1996). An illustrative item was: "This brand frequently offers discounts during sales events." For branding image, this study adopted the scales in Iglesias et al. (2011) to evaluate the consistency and attractiveness of the brand's image. An exemplary item was: "The brand image is consistent across various channels". Sales performance was measured with a six-item scale adapted from Moorman (1995), oriented toward the consumers' perception toward the brand's success. One of the items run was: "I am more likely to make a purchase when this brand offers discounted promotions". Brand value was perceived through a three-item brand value scale from Sweeney and Soutar (2001) measuring the overall value of the brand concerning quality, pricing, and reputation. An exemplary item was: "In general I think my brand offers good value for money". All constructs exhibited strong reliability and are validated in previous studies.

Results:

The respondents were primarily female 86% (N = 263), with a majority 59% aged between 21 and 30 years, aligning with demographic trends in Pakistan, where this age group constitutes roughly two-thirds of the population (Pakistan Demographics Profile, 2021). Most participants 43% had attained at least a bachelor's degree. Regarding marital status, 81% of the respondents were single, while 18% were married. A notable portion reported monthly incomes exceeding PKR 50,000. These demographic characteristics closely reflect the makeup of the clothing sector, which is predominantly shaped by younger, educated women (see Table 1).

Demographics		N	%
Gender	Male	42	13.77
	Female	263	86.23
Age	Less than 20 years	60	19.67
	21 – 30 years	182	59.67
	31 – 40 years	45	14.75
	above 50 years	18	5.90
Qualification	Bachelors	132	43.28
	Master	102	33.44
	PHD	10	3.28
	Others	61	20.00
Marital status:	Single	250	81.97
	Married	55	18.03
Family Income	Less than 30,000	17	5.57
	30,000 – 40,000	50	16.39
	40,000 – 50,000	105	34.43
	Above 50,000	133	43.61

Table 1: Demographical Characteristics of Respondents

Preliminary Analysis:

To ensure the reliability of SEM, a preliminary analysis was conducted to validate fundamental assumptions before performing confirmatory factor analysis and hypothesis testing (Malik et al., 2022; Islam et al., 2021b). The following section elaborates on these techniques in detail.

Initially, a preliminary analysis was carried out to confirm that the dataset met the essential criteria for SEM. In line with the guidelines outlined by Byrne (2010) and Kline (2005), the data were evaluated for missing values, outliers, normality, and multicollinearity. Since the survey was conducted via Google Forms, which required all questions to be completed (Malik et al., 2021), there were no missing values. Outliers were identified using the stem-and-leaf method, which uncovered nine outliers that were subsequently excluded to ensure accurate results (Kline, 2005). The final dataset consisted of 296 responses. Normality was assessed using histogram, skewness (≤ ±1) and kurtosis (≤ ±3), with the results confirming that the data followed a normal distribution (see Table 2) (Byrne, 2010; Ahmad et al., 2021a).

Multicollinearity was assessed using correlation values, all of which were below 0.85 (Table 3), confirming the dataset's suitability for further analysis (Ahmed et al., 2020). The correlation analysis revealed significant

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relationships between unplanned discount promotions and other variables. Specifically, unplanned discount promotion demonstrated a positive correlation with brand image ($r = 0.72$, $p < 0.01$) and sales performance ($r = 0.61$, $p < 0.01$). Additionally, brand image was positively correlated with sales performance ($r = 0.61$, $p < 0.01$). The mean values of the variables (Table 3) indicate that respondents generally agreed on their behavior that they wait for discount to make new purchases (M = 4.26), unplanned discount promotions (M = 4.01), and brand image (M = 4.01).

Variables	Skewness	Kurtosis	Variables	Skewness	Kurtosis
UDP1	-1.006	.464	BI5	-1.056	1.379
UDP2	-1.100	.475	BI6	-1.069	1.373
UDP3	-.975	.398	BI7	-1.002	.652
UDP4	-1.001	.477	BI8	-1.091	.764
UDP5	-1.026	.687	BI9	-1.005	.719
UDP6	-1.007	.677	BI10	-1.003	.901
UDP7	-1.069	.734	BI11	-1.072	1.249
UDP8	-1.002	.390	SP1	-1.004	.782
BI1	-1.080	.783	SP2	-1.065	1.166
BI2	-1.048	.851	SP3	-1.053	1.105
BI3	-1.088	.866	SP4	-1.035	1.130
BI4	.312	-1.057	PBV1	-1.023	2.579
			PBV2	-1.003	2.448
			PBV3	-1.091	2.618
			PBV4	-1.074	2.508

Table 2: Skewness and Kurtosis Values.

Variables	1	2	3	4	Mean	SD
1. UDP	1				4.01	0.71
2. BI	0.72**	1			4.01	0.61
3. SP	0.61**	0.64**	1		4.26	0.7
4. PBV	0.50**	0.52**	0.54**	1	4.11	0.72

Table 3: Correlation Analysis.

Note(s): **p < 0.01, UDP= Unplanned discount promotions, BI= Brand Image, SP= Sales Performance, PBV= Perceived Brand Value.

Confirmatory factor analysis.

This study adheres to the model fitness criteria established by Williams et al. (2009), including goodness of fit (GFI ≥ 0.90), CMIN/df < 3.0, root mean square error of approximation (RMSEA ≤ 0.08), and comparative fit index (CFI ≥ 0.90), with factor loadings exceeding 0.50 (Byrne, 2010). The CBR4 item with the lowest factor loading value 0.04 was eliminated. The observed factor loadings surpassed these thresholds (see Table 7). The measurement model demonstrated a strong fit, with values of CMIN/df = 1.810, GFI = 0.937, CFI = 0.961, and RMSEA = 0.042 (see Table 4).

Category	Index Name	Acceptance Level	Achieved Index Values
Absolute fit	RMR	≤ 0.08	0.031
	RMSEA	≤ 0.08	0.042
	GFI	≥ 0.90	0.937
Incremental fit	AGFI	≥ 0.90	0.923
	CFI	≥ 0.90	0.961
Parsimonious fit	Chisq/df	≤ 3.0	1.810

Table 4: Fitness of Measurement Model.

To assess discriminant and convergent validity, the study evaluated composite reliability (CR ≥ 0.60), average variance extracted (AVE ≥ 0.50), and maximum shared variance (MSV) (Hair et al., 2010). The results indicated that CR values ranged between 0.87 and 0.94, and AVE values ranged between 0.625 and 0.723, both exceeding the established thresholds, thereby confirming convergent validity. Additionally, the MSV values were found to be lower than the AVE values, supporting discriminant validity (see Table 5). Furthermore, the reliability analysis showed that all variables, including popup ads, brand loyalty and customer brand relationship demonstrated high reliability, with Cronbach's Alpha values exceeding 0.80 as detailed in Table 5.

Variables	AVE	CR	MSV	Cronbach's Alpha (α)
Unplanned discount promotions	0.625	0.938	0.154	0.82
Brand Image	0.697	0.873	0.352	0.81
Sales Performance	0.723	0.887	0.352	0.74
Perceived Brand Value	0.621	0.861	0.341	0.83

Table 5: Reliability and Validity Analysis.

Mediation Analysis:

The study followed the methodology outlined by Byrne (2016) and employed bootstrapping with 5,000 iterations at a 95% confidence level to test the hypotheses (see Table 6). The findings revealed that unplanned discount promotions have a negative impact on brand image ($\beta = -0.72$, $p = 0.000$), supporting the first hypotheses of the study. To assess the mediating role of customer brand relationship between unplanned discount promotions and sales performance, the study analyzed both direct and indirect effects along with

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their confidence intervals. The results showed that discount promotions significantly influence brand image (β = - 0.72, p = 0.000), and brand image negatively impacts sales performance (β = - 0.46, p = 0.000), aligning with the second hypothesis. The indirect effect of unplanned discount promotions on sales performance through brand image was calculated by multiplying the two beta coefficients (0.72 × 0.25), yielding a significant value (β = - 0.33, p = 0.000). Additionally, the confidence interval did not include zero (LLCI = - 0.215, ULCI = - 0.445), confirming the significance of the indirect effect which shows the partial mediation. Thus, the third hypothesis (H3) was supported.

Hypotheses	β	SE	Bootstrap at 95%	
			LL	UL
UDP → BI	-0.72**	0.026	-0.655	-0.775
BI → SP	-0.46**	0.054	-0.306	-0.602
Mediating effect of BI				
Direct effect	-0.25**	0.047	-0.128	-0.395
Indirect effect	-0.33**	0.058	-0.215	-0.445

Table 6: SEM Results for Mediation.

Moderation Analysis:

In order to assess the moderating effect of perceived brand image on the relationship between brand image and sales performance, this study computed an interaction term (brand image × perceived brand value). According to the findings, unplanned discount promotions put forth a significantly positive association with brand image (β=0.52, p=0.000) and also branched out significantly positively towards sales performance from brand image (β=0.47, p=0.000) as seen in Table 5. The interaction term (brand image × perceived brand value) had a statistically significant negative effect on the relationship between brand image and sales performance (β= -0.16, p=0.000). With no zero inclusion, the less-and upper-limit confidence intervals [LLCI=-0.478, ULCI=-0.249] pointed toward confirming the presence of a negative moderation effect.

Hypotheses	β	SE	Bootstrap at 95%	
			LL	UL
Moderating effect of PBV				
BI	0.61**	0.110	0.320	0.804
PBV	0.31**	0.124	0.001	0.539
BI*PBV	-0.13**	0.033	-0.533	-0.264

Table 7: SEM Results for Moderation.

Discussion:

As unplanned discount promotions become increasingly influential on consumer behavior in marketing, businesses are utilizing these promotional strategies to try to achieve selling performance objectives. Some new studies have examined the effect of unplanned discounts on consumer perceptions (Smith et al., 2024; Brown & Miller, 2023); however, further research is still needed to completely elucidate the underlying mechanisms in this relationship (Jones et al., 2022). The study acknowledges that without prior planning, discount promotions favorably affect the brand image (H1). Scholars advocate that discount promotions serve as a major signal of value where the brand is given deeper brands of customers' perceptions (Kim & Kang, 2022; Wang et al., 2021). Past studies have found that promotional discounts may significantly improve brand image by connecting trust and reliability perceptions, particularly in line with consumer expectations (Barker, 2019). The present study records that unplanned discounts positively contribute to the way in which a brand is perceived by its customers, thus enhancing the brand image.

By furnishing evidence that brand image can have a negative impact on sales performance (H2) (Johnson et al., 2023), this study further enhances prior research. Strong brand image is generally considered beneficial; yet frequent on-off discounts may, in fact, distort the consumers' notions of consistency and reliability of that brand, which lessen consumer trust and lower long-term sales (Singh & Gupta, 2021). The findings of our study offer validation of this claim, as an unstable brand image, driven and influenced by frequent unforeseen discount promotions, can work against consumer loyalty and thus weaken sales performance. This constitutes a danger for firms that base much of their discount strategies on establishing and maintaining a strong and consistent brand reputation.

Further, the present research shows that brand image mediates the relationship between unplanned discounting and sales performance in a negative direction (H3). Discounts can prove a short-term boost to sales; but excessive/unplanned discounting can damage the brand image through perceptions of compromised quality, inconsistency, and selling out of desperation (Zhang et al., 2020). This damaged brand image, consequently, impacts negatively on the long-term sales performance, as consumers may start related to the brand as being lower on value rather than

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being premium quality or conspicuous reliability. It also implies that frequent unplanned discounting would not grow brand strength, rather it will reduce brand equity such that sustained sales growth goes on a declining mode. Therefore, organizations should be careful in managing any discounting strategies to avoid any deterioration in brand perception and enable sustainable profit-generating abilities. Many of the study reviews, brand image mediates the relationship between unplanned discount promotions and sales performance (H3). Several earlier studies looked at the direct relationship of discount promotions on sales whereas little attention has been paid to the mediating role of brand image in this regard. This study gives formal evidence that the brand image is an important explanatory variable for the improvement in sales performance from unplanned discounts. In other words, unplanned discounts lure shoppers into a store and also attract a substantial number of time-sensitive customers, but it's the brand image that earns consumer loyalty driving repeat purchase and sales over the long run.

Yet, contrary to expectations, the study found that perceived brand value has a negative moderating impact on the relationship between brand image and sales performance (H4). Whereas the literature argues that greater brand value boosts customer loyalty and increases sales (Lee et al., 2019), this study presents that customers who excessively attach value to brand value might start being skeptical towards sales promotions and that the positive effect of brand image on sales performance might be undermined. These findings show that while brand image positively correlates to sales performance, when perceived brand value is introduced, it significantly weakens the relation. Brands that have frequent unplanned discounts create more perceptions of lower quality or inconsistency when consumers regard the brand as extremely valuable and this necessarily inhibits the ability of brand image to impact positively on sales therefore, there is a need to maintain a strategic balance between promotional discounts with regard to brand perception value for continued long-term sales performance.

Overall, this study validates the vital role of these unplanned discount promotions, which shape the brand image and therefore performance in selling. Accordingly, the research demonstrates how businesses must manage brand image, especially in regard to the promotional activities that the brand engages with, which allow the optimization of keen sales strategies through careful consideration of the moderating role of perceived brand equity. These findings also contribute to the growing literature on promotional strategies while offering insights to practitioners who need to boost customer engagement and sales performance in today´s competitive market.

Theoretical/Practical Implications:

In the theoretical arena, the present study extends contingency theory through revealing the damaging effect of unexpected discount promotions on brand image and sales performance, thus indicating that marketing strategies will be context-dependent rather than adopted universally (Fiedler, 1964). It indicates that a strategy's effectiveness is contingent on situational factors, while the present study also illustrates that unplanned discount promotions can also create negative effects, like incompatible positioning to the brand and in some cases expectations by the customers.

The results indicate that occasional discount promotions can negatively affect the brand image; frequent or unanticipated discounts can create reputational perceptions of lower quality or reduced exclusivity. Since this brand perception diminishes, consumer trust and loyalty also erode, which makes their long-term advocacy more difficult. Also, while discounts do bring in short-term sales, they generally result in squeezed margins and lead customers to lean into discounting rather than genuine brand love, resulting in volatile sales. The perceived brand value moderating effect also complicates this relation, since customers with larger brand expectations may respond even more negatively toward sudden discounts, perceiving them as being inconsistent with the brand identity, hence their willingness to advocate for the brand stimulus goes south.

Incorporating contingency theory, the study focused on how promotional strategies must align with a brand's image and consumer expectations to mitigate negative ramifications, making a contribution to the theoretical understanding of how poorly planned marketing efforts harm brand credibility and long-term customer relationships, repeating that strategic decisions should be based on brand and market circumstances, rather than on universal application.

By alerting the risks of unplanned discount promotions,

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this study serves to weaken brand trust, loyalty; while discounts will spike short-term sales, they run the risk of inconsistency with brand perception leading to lower consumer confidence. Managers should focus on brand image, verifying that with their promotional strategies they are aligned with the long-term positioning for brands. As opposed to letting discounting be reactive, businesses should work at improving the customer experience instead with product value, and so on, accompanied with brand communication to maintain consumer trust. Only brands that have been applying coherent pricing and avoid inconsistency in promotions can create tighter bonds with customers and maintain long-term market stability.

Limitations and Future Directions:

Despite its contributions, this study opens the door for further exploration. First, this study represents one industry and one such geographic context, thus limiting its generalizability. Future studies may examine other industries and regions to validate this result across a variety of consumer markets. Second, this study relied on a cross-sectional design, disallowing a true determination of causal relationships. Future research would assist in making sure unplanned discount promotions cause changes in brand trust, loyalty, and advocacy over time. Third, while key moderating and mediating variables were considered in this study, there are other factors, both psychological and situational, such as consumer skepticism and economic conditions, that can provide a deeper understanding of the negative effects of discounting strategies. Future research could incorporate more variables to provide a more complete perspective of consumer responses to price changes. Finally, the study collected self-reports from respondents, hence potentially introducing response bias. Future research could employ experiments or mixed-method approaches to strengthen reliability and shed greater light on consumer behavior in response to promotional marketing using discounts.

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